something else, and if we can find a government entity to blame, so much the better. Post-GFC, there were endless attempts to throw manure against the barn door to see what might stick: It was the Community Reinvestment Act! No, wait, it was the FHA's VA loans. No, it was GSE's Fannie and Freddie! A beloved excuse blamed "The Poors" (really), those no-good, low-income borrowers who defaulted on homes when their variable 2/28 mortgages spiked higher![388]

As always, the reality was much more complex. Many factors deserve blame, ranging from ultra-low interest rates and falling real incomes to the mad scramble among fund managers chasing yield. These, combined with a radical deregulation of Wall Street, created a unique set of circumstances that allowed traditional lending standards to fall by the wayside.

You know how *that* ended.

Refusing to acknowledge how complicated reality is once it conflicts with your belief system is a classic example of cognitive dissonance. If you can't face the reality of the boom and bust in housing in the 2000s, just cook up some story that explains what happened consistent with your ideology. That it is easily debunked is beside the point.

When it comes to money, we see the same kinds of errors all the time. There is a fine line between having confidence in your methodologies and living in your own private fantasy world. Like it or not, this is the human condition, the wetware/operating system running the meat sacks we live in.

Recognizing this at least gives us a chance to avoid its grasp. Just because you are human doesn't mean you must always give in to all of our failings.

Everybody loves a good story, a trait that turns out to be deeply problematic. Next, we will find out why.

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384 Leon Festinger, Henry Riecken, and Stanley Schachter, *When Prophecy Fails: A Social and Psychological Study of a Modern Group That Predicted the Destruction of the World* (1956); and Leon Festinger, *A Theory of Cognitive Dissonance* (Stanford University Press, 1st